

3.1.4 Production, costs, revenue and profit

Students explore the significance of cost, revenue and profit for producers, leading to an understanding of the significance of productivity on increasing profits. Students explore the concept of economies of scale and the benefits these can bring.

3.1.4.1 The importance of cost, revenue and profit for producers

Content	Additional information
• Business objectives • Types of costs • Types of revenue • Profit • The importance of cost, revenue and profit for producers • Moral and ethical considerations	Students should be able to understand: • business objectives, including profit, sales growth and increasing market share • how to identify and calculate Total and Average, Fixed and Variable costs • how to identify and calculate Total and Average Revenues • that total revenue – total costs = profit, and that a firm may aim to increase its profits by reducing average costs and/or increasing revenues • that higher prices imply higher profits and that this will provide the incentive for producers to expand production • that the motivations of producers may conflict with ethical and moral interests.

3.1.4.2 Production and productivity

Content	Additional information
• The meaning and importance of productivity • The factors that influence productivity	Students should be able to understand: • the difference between production and productivity • the benefits of increased productivity.

3.1.4.3 Economies of scale

Content	Additional information
• The meaning of economies of scale • Types of economies of scale • Diseconomies of scale	Students should be able to understand: • economies of scale as the effect on average costs of a rise in production • the implications and effects of economies of scale on business behaviour • the costs and benefits of growth for a business • the different types of economy of scale, including managerial, purchasing, financial, technical and risk-bearing • what is meant by diseconomies of scale.